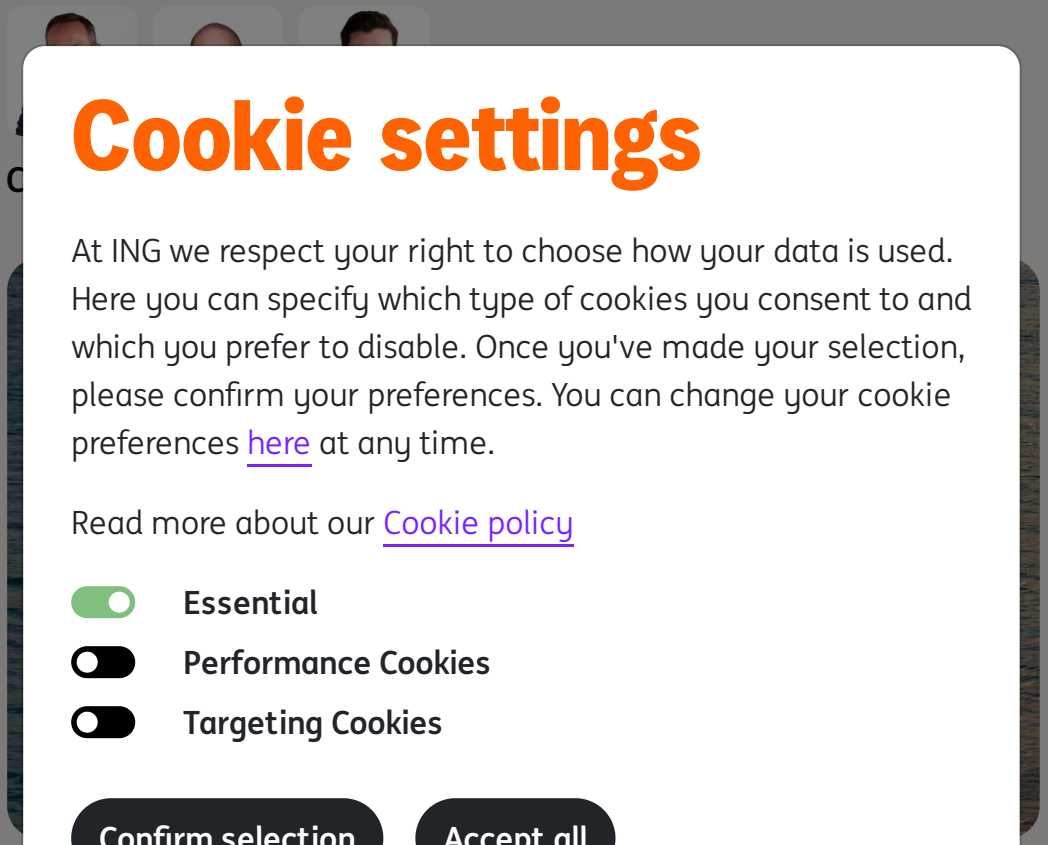
FX markets have started the week quietly, but the risks hanging over markets remain unresolved. Energy prices are still elevated on the threat of escalation in the Middle East, Coreweave's bonds still trade at 80 cents on the dollar, and French bond spreads are pushing wider as the French situation deteriorates. It is hard to get too bearish on the dollar



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USD: Consolidation continues

FX markets have had a quiet start to the week. The dollar is down a fraction versus the commodity currencies, but up a fraction against the low-yielding yen and Swiss franc – the latter driven by some US equity stability and a modest back-up in short-dated US rates. Yet none of the key themes and threats have really changed. Energy markets remain nervous that the US and Israel may once again attack Iran ahead of the US Mid-Terms. Or at least energy prices are staying at their highs, preventing much of a correction in bond yields. Concerns over business models of the high-yield US data

centre providers remain, with Coreweave's 2032 bond still trading at 80 cents on the dollar. This represents the key threat to dollar strength. French debt spreads continue to widen as conclusions harden that France is still far from any fiscal consolidation.

This mixed picture extends across emerging markets too, where the Korean won and Taiwanese dollar are sharply diverging – having previously both traded together as chip exporters. The learning here is that central bank policy makes a big difference and the divergence can be explained, we think, by the Taiwanese dollar being punished for a local central bank failing to hike rates in September.

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budget. Both the left and the right have attached numerous amendments to the original bill, meaning that even if it passes, markets are unlikely to welcome it. And the budget bill bouncing between the lower and upper houses into early December seems to be the base case. This week French sovereign debt also has to cope with a Moody's rating review on Friday. Here Moody's could play catch-up with the other agencies in cutting France to a single A-rated issuer. The move is expected; investors are underweight French debt, but there is still little concern that the loss of the final AA rating from the big three agencies could lead to some forced selling.

Despite French budget stress and high energy prices, eurozone business optimism has been holding up surprisingly well. That will be tested today with the release of the German ZEW index and on Friday with the flash PMIs across the region. These are all expected to edge a little lower, but probably not enough to dent the euro.

Expect EUR/USD to remain on 'OAT-watch' today. While a period of consolidation/correction looks necessary after a big fall in September, the case for a EUR/USD recovery remains weak. A move to 1.1180 looks as likely as a rally to 1.1270.

Chris Turner

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EUR/HUF briefly tested new lows but ended the day essentially unchanged.

Today, the fiscal narrative will continue with a joint press conference by the prime minister and the minister of finance; later, the Ministry of Finance will present further details to analysts, which should allow us to better assess the realism of the fiscal plan for next year. Overall, we maintain our previous view that the trade is currently too crowded, and we would not be surprised by a more significant correction, given how strongly Hungarian bonds rallied ahead of the budget plan's release. On the other hand, we remain

bullish on the overall story, and we expect that, sooner or later, the market will begin to fade the higher yields.

Today also features a meeting of the National Bank of Hungary, which is likely to leave interest rates unchanged at 5.50%. Although the NBH has cited knowledge of the fiscal plan as a prerequisite for further rate cuts, we believe it is still too early for the central bank to lower rates further. Forward guidance today could be positive in the sense of pointing toward more rate cuts, but at the same time, the central bank should take into account higher global energy prices.

Frantisek Taborsky

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is and Bolsonaro is likely to pick up the majority of the first-round votes directed outside of the two candidates. That could see the USD/BRL gap lower to 4.85/4.90 next Monday morning. However, the bigger move probably comes to the upside should President Lula pull a win out of the bag.

Chris Turner

FX

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